

LECTURE NO 11

HS-403: Management and Entrepreneurship

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Identification of Business Opportunity to be a future Entrepreneur



“The Entrepreneur always searches for change, responds to it and exploits it as an opportunity” – Peter Drucker

Idea Generation and Opportunity

- Generally, the term opportunity means “a good chance or a favorable situation to do something offered by circumstances.”
- **Business opportunity** means “a good or favorable change available to run a specific business in a given environment at a given point of time.”
- Opportunity identification and selection in the life of an entrepreneur is as important as this saying “**well begun is half done**”.
- **Opportunity identification is a process that involved the search for and discovery of business opportunities by:**
 1. Observing the changes in the environment.
 2. Recognizing a need that customers have that is not yet being satisfied.
 3. Recognizing problems and finding ways to solve it.

When is an Idea an Opportunity?

- Before starting any new venture, following questions needs to be answered by the entrepreneur from himself/herself?
 - **Does the idea fire your motivation and is it adequate enough to keep you going for next 2-4 years?**
 - **Is it a viable business proposition in your area?**
 - **Does it match the needs of your clientele, local, or otherwise?**
 - **Whether it will create or add value to the customer?**
 - **Will you be able to solve a significant problem or meeting a new demand?**
 - **Whether the idea will have a robust market and profit margins?**
 - **How competitive will be your idea in the market?**
 - **Evaluating your business opportunity or project conceptualization.**

Idea Generation Sources

1. Knowledge of potential customer needs.
2. Watching emerging trends in demands of certain products/apps/technologies.
3. Scope for producing substitute products/apps/technologies.
4. Going through internet, social media platforms etc.
5. Success stories of known entrepreneurs or friends, or relatives.
6. A new product/idea/app recently introduced in some other country.
7. Market insights through observation.

Which one is Idea and Which one is Opportunity?

Situation I

Having completed their Master of Business Administration (MBA), Mrinmoy and Chandan met after about six months. The two were conversing with each other about who is doing what. Mrinmoy is running his business of travel agency and Chandan is still searching for a job. Mrinmoy suggests Chandan to start some business. Observe and read the market scenario and produce what the consumers actually want.

Situation II

On completion of his engineering degree, Tridip got a job in Assam State Transport Corporation. He was the in-charge of the purchase department. Having worked in the purchase department for over ten years, he had gained good idea about which components have more demand and who are the buyers of these parts in bulk. He, therefore, thought good prospects of manufacturing of some of the components having good demand in bulk.

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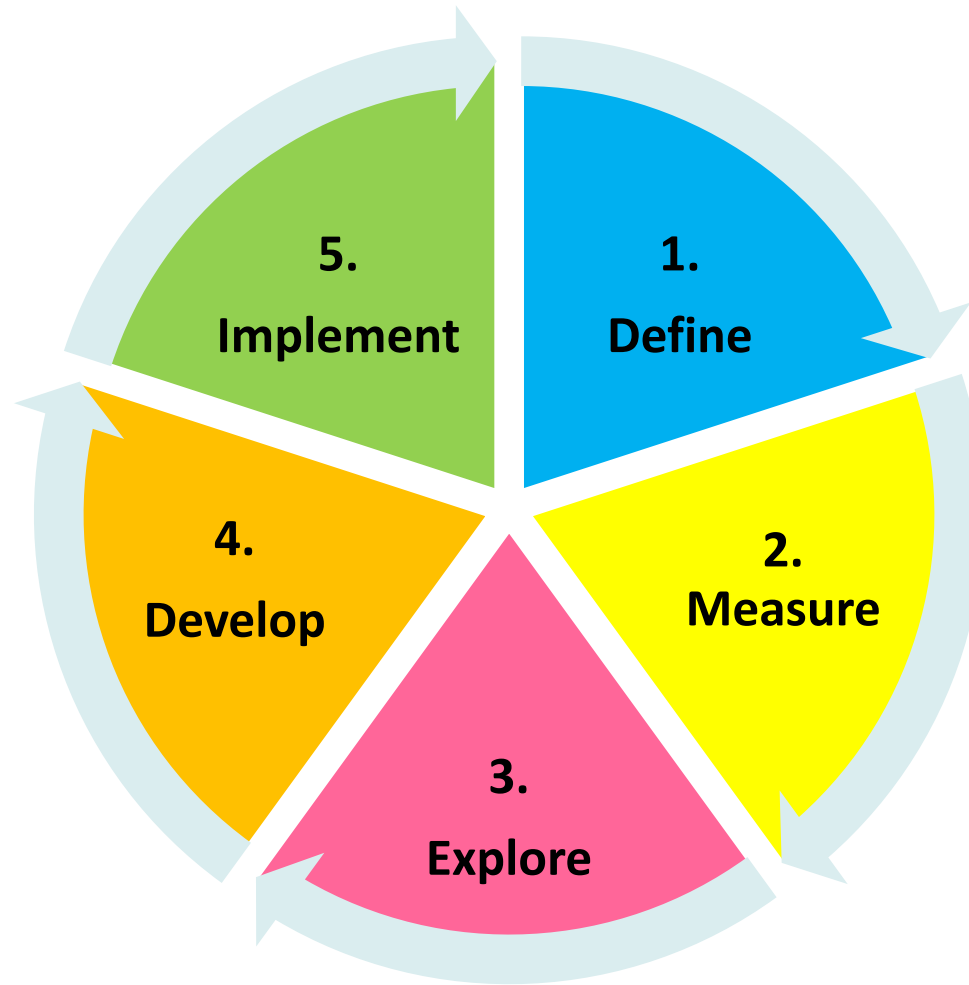
IDEA

Situation II

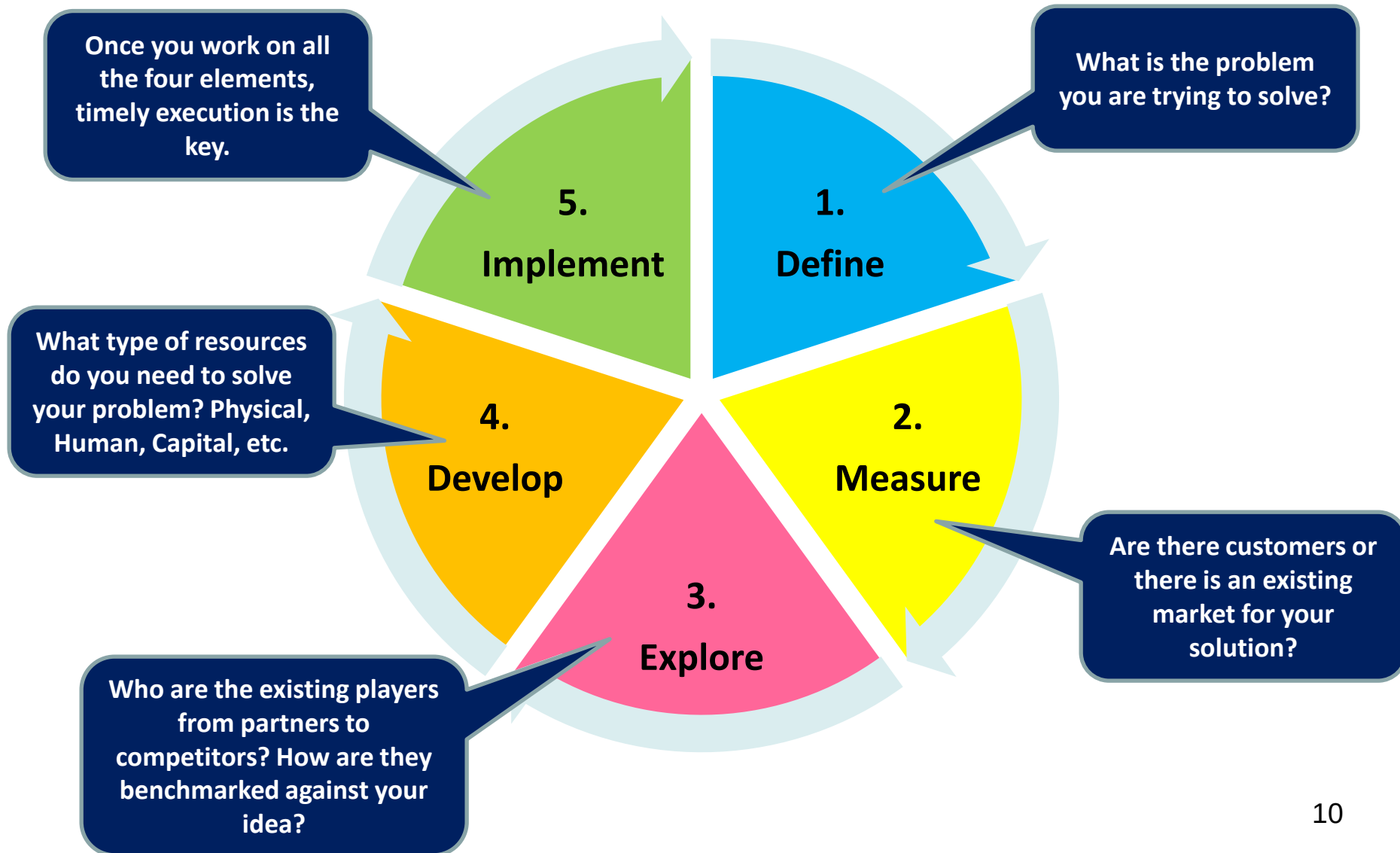
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OPPORTUNITY

When is an Idea an Opportunity?



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Window of Opportunity

- Every emerging entrepreneur need to define the time period in which a new start-up can realistically enter into the market.
- New entrants will enter into the market once the window is open.
- Its Entrepreneur's mindset and the techniques he used, will decide how well he will avail the opportunity.



Opportunity Analysis

- A typical opportunity analysis plan has following sections:

Description of the Idea and its Competition

Creation of the Opportunity and Identifying Risk and Return

Assessment of the Market for the Idea

Assessment of the Personal Skills, Team Skills, and the Team

Opportunity versus Personal Skills and Goals

Discussion of steps needed to make the idea into a viable venture

Opportunity Screening

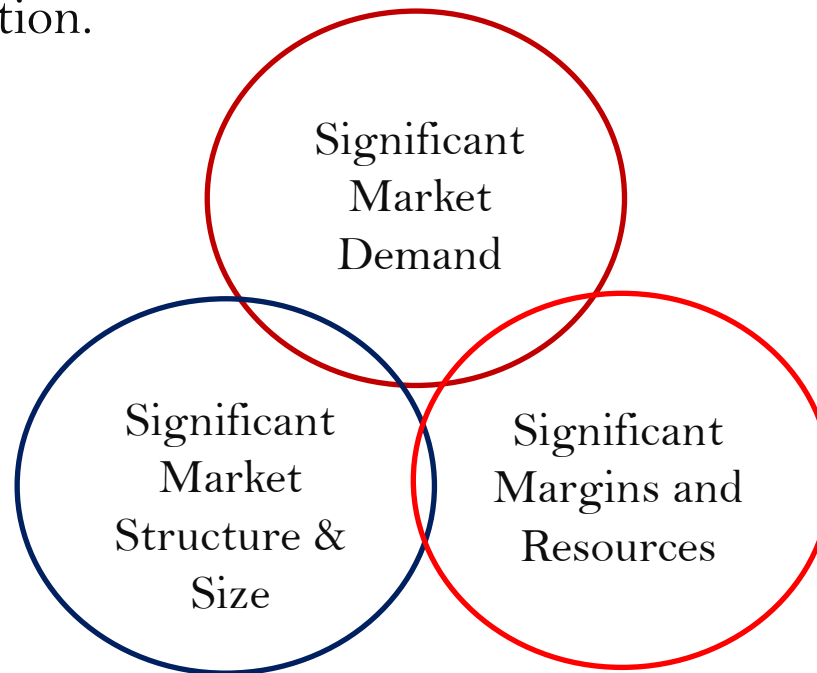
- In order to discover how reasonable your business idea is, you need to research many aspects of the concept.
- **Opportunity screening is the process by which entrepreneurs evaluate innovative product ideas, strategies, and marketing trends.**
 - Focusing on the viability of financial resources.
 - The skills of the entrepreneurial team.
 - The competition in the market.
 - This screening helps determine the potential for success in pursuing the idea and can help refine planning.

Common Sources of Research Data

- For most entrepreneurs, research will also include asking potential customers, specifically your target customers, questions about
 - **products they like and don't like,**
 - **how a product or service could be improved,**
 - **how the customer buying experience could be improved, and**
 - **even where customers might go to purchase products and services instead of your business.**
- Small business marketers can use several no-cost or low-cost methods, including
 - **surveys, questionnaires, focus groups, and in-depth interviews.**
 - **articles, research reports, reliable Internet sources, social media platforms.**

Researching and Verifying the Entrepreneurial Opportunity

- Whether you start your own business, buy an existing business, or purchase a franchise, researching the industry, your target market, and examining the economic and funding options are all part of performing due diligence.
- ***Due diligence*** is the process of taking reasonable steps to verify that your decisions are based on well-researched and accurate information. It means thoroughly researching potential pursuits, asking detailed questions, and verifying information.



Researching and Verifying the Entrepreneurial Opportunity

- **For example, if you were considering opening a new ice cream store with unique flavors preferred by children, your collection of data should tell:**
 - the number of children living in the area,
 - the ratio of boys to girls,
 - their ages, and
 - the general income levels of the families in town.
- **This data would help you:**
 - determine the size of the market and
 - potential target market,
 - local market growth, income levels, and
 - key demographics that might fit the potential customer profile.

Competitive Analysis

- A competitive analysis should provide the entrepreneur with information about how competitors market their business and ways to penetrate the market by entry through product or service gaps in areas that your competitors do not serve or do not serve well.
- More importantly, competitive analysis helps the entrepreneur develop a competitive edge that will help create a sustainable revenue stream.
- **For example**, a big company like METRO Cash and Carry primarily competes on price.
- Small companies typically cannot compete on price, since the internal efficiencies and volume sales available to large corporations like METRO Cash and Carry are not available to small companies, but they may be able to compete successfully against METRO Cash and Carry on some other important variable such as better service, better quality products, or unique buying experiences.

Competitive Analysis

- One of the most important tool is a **SWOT analysis** (strengths, weaknesses, opportunities, and threats) which focuses on analyzing your venture's potential and builds on the knowledge gained from the competitive analysis.



Example of SWOT Analysis

Strengths

- Capabilities
- Education and experience
- Resources, Assets, Team
- Will power & determination
- Experience, Knowledge
- Financial returns
- New Innovation
- Price, value, quality

Weaknesses

- Lack of capabilities & will
- Lack of networking skills
- Pressure of finances and deadlines
- Unreliability of data
- Lack of proper research
- Lack of realistic approach
- Lack of resources

Opportunities

- Market Development
- Social media platforms
- Life style trends
- Technological Development
- Global Influence
- Business/product development
- Market knowledge

Threats

- Political and economic conditions
- Competition in the market
- Loss of resources
- Changes in market demands
- Technological innovations
- Poor management strategies
- Uncertain market conditions

Social Media's Role in Research

- For almost all new business ventures, two key issues related to research are **Time** and **Money**.
- Social media platforms can provide speedy, low-cost market research, and tracking trends in real-time which helps entrepreneur in understand their potential customers and analyzing business idea without spending too much money.
- If the entrepreneur can perform social media research on his or her own, the cost will primarily be in terms of time. But the time it will take to conduct research through social media platforms such as Facebook or Twitter is usually well spent.

Exercise

- Mandy was a high school student who lived in a rural area. Mandy was only fourteen years old but wanted to make some extra money for her family's trip to the Disney Land the following summer. While shopping with her parents, she noticed there was only one place in town to buy flowers and vegetables seeds for spring planting, and there was not much of a selection. Mandy made a note of the various types of plants and flowers the store sold and how much they sold for.
- When Mandy got home from shopping with her parents, she went online to see how much the seeds and equipment would cost. Her parents liked the idea of Mandy earning some money of her own to spend on vacation and made a large area in the basement available for her to start her plants.
 - **What else should Mandy know about this business before getting started?**
 - **What else do you think Mandy needs to start this business?**
 - **Do you see any potential problems with this business idea?**
 - **What are some ways Mandy can sell her plants?**
 - **Is this a business idea or an entrepreneurial opportunity?**

References:

- ❑ Based in part on materials by *Ms. Samar Masood* (Lecturer, Department of Management Science in HITEC University Taxila Cantt).